

A subconscious detachment from [the payer's] money exists in most people when they 'tap' or use their mobile phone to pay and, considering the growing ubiquity of non-cash payment options, those trying to save for a home are likely oblivious as to why their progress is so disappointing.

Professor Briley says there's empirical evidence that we spend more money when not using cash:

We have so-called 'mental accounts', and we spend out of those accounts. But there's good evidence that when people are spending in cash the mental accounting is quite specific, and they do think about the fact they're making a trade-off ... that they're spending \$20 here and they cannot spend it on some other alternative. When people are spending electronically, they are less likely to make that categorisation in terms of those mental accounts. To the extent [that it's] possible, taking cash out at the ATM at the beginning of the week and having a specific budget for spending, and sticking with it, is the best plan.

Source: domain.com.au/news/tap-spend-forget-why-using-cash-could-be-the-key-to-saving-money-20170726-gxha2l/

This is the crux of the Pocket Money Savings Plan. Even if my plan is not right for you and you intend to save with a self-managed budget, think about leaving your cards at home and delete any apps that make spending money you cannot touch as simple as 'tap and forget'.

Just one morsel of evidence is the rise of Uber Eats, Deliveroo and other meal drop-off businesses. Kohler says, 'Considering these sorts of services are largely used as an unnecessary added comfort, the growth fits in Professor Briley's assessment that the propensity to spend more occurs most in "hedonic" areas, or those that make us feel good.'

Carry a choc-full wallet and try paying in cash for entertainment, groceries and coffee. Watching the notes and coins dwindle before your eyes might just allow you to take pause.

Need versus want